Cambridge Assessment International Education

Cambridge O Level

COMMERCE **7100/12**

Paper 1 Multiple Choice **May/June 2025**

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **forty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

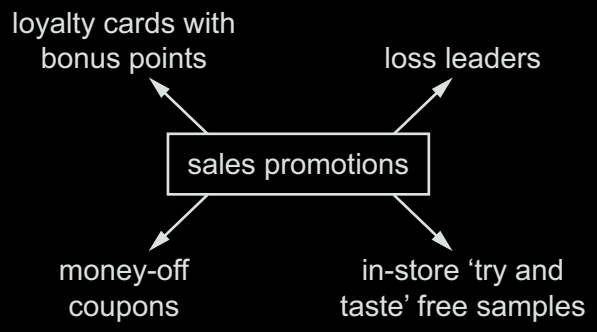
INFORMATION

- The total mark for this paper is 40.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

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[Turn over



For which type of retailer would **all** of these sales promotion methods be appropriate?

A convenience store

B roadside trader

C supermarket chain

D vending machine

19 What is **not** an effect of the increase in global communication?

A Buyers and sellers are brought together more easily.

B Contracts can be sent and received instantly.

C Goods are transported around the world more efficiently.

D Information on overseas markets is updated quickly.

20 A Chinese tractor manufacturer wants to increase its sales in African countries.

What could lead to problems with communication for the tractor manufacturer?

A cost of sending emails

B exchange rate fluctuations

C restrictive trade regulations

D the use of many languages

21 What is an example of a use of a smartphone?

A changing information on a birth certificate

B dispensing your own medicine

C taking a photo of receipts

D trying on shoes before buying

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27 Mari is a professional footballer who plays for Anywhere Athletic Football Club.

Which risk could be insured by both the club and Mari?

A damage to the club building caused by a fire

B Mari breaking a leg during a game

C theft of a smartphone from Mari's car

D theft of trophies from the club's display unit

28 Which term is **not** an insurance principle?

A compensation

B indemnity

C insurable interest

D utmost good faith

29 A business wants to insure stock valued at $60 000. The premium quoted by an insurance company is $1 per $200 value.

What is the premium paid by the business to insure its stock?

A $200 **B** $201 **C** $300 **D** $60 200

30 What is an advantage to a customer of having an online bank account?

A being sure of complete security

B paying in cash and cheques

C receiving alerts about the account

D withdrawing cash at any time

31 Imran wants to purchase a satellite navigation system from an electrical multiple chain store but does not have the money available.

What would be the **best** way of paying for this product?

A credit card

B debit card

C informal credit

D standing order

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government minister appoints a board of directors
board of directors is responsible for day-to-day operations
government can question the performance of the business

36 The table shows some financial information for a business.

	$
creditors	40 000
overdraft	8 000
stock	35 000
cash	7 000
debtors	16 000

What is the working capital of this business?

A $10 000 **B** $24 000 **C** $48 000 **D** $58 000

37 How can the rate of inventory turnover be improved?

A by decreasing the advertising budget

B by increasing the expenses on salaries

C by purchasing obsolete goods cheaply

D by selling goods at a discounted price

38 The acronym PEST is helpful to analyse the external environment.

What do the letters in PEST stand for?

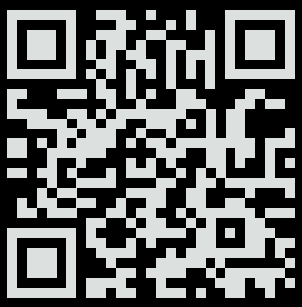
A political, ecological, social and technological

B political, economic, social and trade

C political, economic, social and technological

D political, economic, sustainable and technological

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